

JX Advanced Metals (5016)

Earnings model update: Raising semiconductor-related business outlook further

We revise our earnings estimates to reflect current trends. We maintain our Overweight rating, but lower our price target to ¥4,800 through end-2027 (previously ¥5,700 through end-2026). We remain bullish on the company's medium- to long-term growth outlook, but primarily reflect a correction in sector multiples. We forecast operating profit growth of 48% YoY to ¥258.9 billion (previously ¥243.0 billion) in FY2026, 3% to ¥267.7 billion (¥268.4 billion) in FY2027, and 15% to ¥309.0 billion (¥306.6 billion) in FY2028. In growth areas such as InP substrates, where JX has strengths, and sputtering target materials, it is aggressively investing while also revising product prices. We expect the company's market presence to strengthen further and forecast FY2025–28 operating profit CAGR of +21% overall and +47% in the semiconductor materials segment.

- Focus businesses (semiconductor materials, ICT materials):** We forecast aggregate operating profit growth at the focus businesses of 42% YoY to ¥100.7 billion (previously ¥86.8 billion) in FY2026, 35% to ¥135.7 billion (¥113.1 billion) in FY2027, and 33% to ¥180.5 billion (¥151.3 billion) in FY2028. We raise our FY2026–FY2027 outlook primarily for (1) semiconductor target materials, (2) high-purity tin and (3) rolled copper foil. For InP substrates, a focus area, we raise our estimates mainly for FY2028. For (1), demand is rising, and we also factor in impact from accompanying price hikes. For (2), we factor in volume growth against a backdrop of higher demand for EUV lithography equipment and higher capacity utilization. For (3), we reflect the strength of 1Q FY2026 earnings and impact from yen depreciation boosting product prices.
- Base businesses (metals & recycling segment): 2Q FY2026 forecasts:** We forecast operating profit growth of 43% YoY to ¥37.0 billion. We assume ¥160/\$, and prices of 612¢/lb for copper, \$4,400/toz for gold, and \$32/lb for molybdenum. We assume copper and molybdenum prices rise QoQ, but expect profit to fall as this growth fails to offset the dropout of gains on the sale of the Caserones mine interest (¥19.0 billion) and the impact of lower mine output due to unfavorable weather conditions (¥6.0 billion). **FY2026 forecasts:** We forecast operating profit growth of 20% YoY to ¥168.0 billion (previously ¥170.4 billion). We expect higher copper, precious metal, and other prices versus our previous assumptions, and now assume, for example, 600¢/lb (previously 580¢/lb, guidance: 586¢/lb) for copper and \$30/lb (previously \$26/lb) for molybdenum. However, we lower our forecast as poor weather conditions are causing mine production problems in 2Q, and we also expect lower output volume in metal recycling. **FY2027 forecasts:** We assume a copper price of 590¢/lb (previously 570¢/lb), but expect operating profit to fall 12% YoY to ¥148.0 billion due to the dropout of gains on the sale of the Caserones interest, declines in copper and other prices, and profit-denting inventory valuation adjustments.

Overweight

5016.T, 5016.JP

Price (14 Aug 26): ¥3,785

▼ Price Target (Dec-27): ¥4,800

Prior (Dec-26): ¥5,700

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Key Changes (FYE Mar)

	Prev	Cur	Δ
Adj. EPS - 27E (¥)	168.88	177.20	4.9%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	96	100	66	96	86
Growth	41	21	31		
Momentum	1	1	1	91	81
Quality	31	26	11	66	71
Low Vol	100	100	100	100	100

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

See page 9 for analyst certification and important disclosures, including non-US analyst disclosures.

Price Performance



	YTD	1m	3m	12m
Abs	93.1%	-2.9%	-14.9%	275.5%
Rel	70.0%	-6.8%	-23.1%	238.2%

Company Data

Shares O/S (mn)	928
52-week range (¥)	5,828-998
Market cap (\$ bn)	22.0
Exchange rate	159.50
Free float (%)	64.3%
3M ADV (mn)	25.72
3M ADV (\$ mn)	666.1
Volatility (90 Day)	91
Index	TOPIX
BBG ANR (Buy Hold Sell)	10 3 0

Key Metrics (FYE Mar)

¥ in millions	2026/3A	2027/3E	2028/3E	2029/3E
Financial Estimates				
Revenue	884,638	1,021,100	1,131,300	1,247,300
EBITDA	219,646	309,600	320,200	367,600
EBIT	174,967	258,900	267,700	309,000
Net income	104,645	168,500	175,200	206,700
Reported EPS	112.99	177.20	184.25	217.37
BBG EPS	113.17	174.37	193.50	-
Net debt	257,944	199,880	166,440	102,710
Cashflow from operations	107,544	171,026	178,203	223,767
Investing cashflow	(77,253)	(91,900)	(101,800)	(112,300)
FCFF	32,543	79,126	76,403	111,467
Margins and Growth				
Revenue Growth Y/Y (%)	23.7%	15.4%	10.8%	10.3%
EBITDA Growth Y/Y (%)	40.3%	41.0%	3.4%	14.8%
Fully Diluted EPS growth	53.5%	56.8%	4.0%	18.0%
Ratios				
Effective Tax Rate	23.9%	23.9%	23.9%	23.9%
Net debt/EBITDA	1.2	0.6	0.5	0.3
ROCE	13.5%	17.5%	16.1%	16.7%
ROE	15.6%	21.1%	18.6%	19.0%
Valuation				
FCFF yield	0.9%	2.2%	2.1%	3.1%
Dividend yield	0.8%	1.2%	1.2%	1.4%
EV/EBITDA	5.5	3.7	3.5	2.9
EV/Revenue	1.4	1.1	1.0	0.8
P/E	33.5	21.4	20.5	17.4
P/BV	4.8	4.0	3.5	3.0

Summary Investment Thesis and Valuation

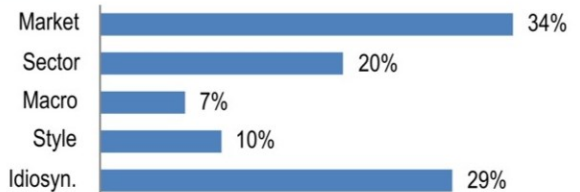
Investment Thesis

Key points are accelerated profit growth in the semiconductor materials segment and divestments from the metals & recycling segment. In the former, JX Advanced Metals is the global No. 1 in sputtering target materials, holding around 65% market share (as of FY2025). As semiconductor structures become more complex, we look for profit growth from increased usage of target materials, enhanced precision, and some material shifts. In the latter, asset-light strategies are reducing earnings volatility and improving asset efficiency. We also focus on how the proceeds from divestments will be linked to shareholder returns. Demand for semiconductor-related products has recently increased sharply. This has driven expectations for a higher weighting of earnings from such products and notably improved the medium-term growth outlook.

Valuation

Our end-December 2027 price target of ¥4,800 is based on our FY2027 EPS estimate and a P/E of 26x (previously 30x), derived from comparable company analysis based on an SOTP model as of August 14, 2026. Our target multiples by segment are 29x (previously 31x) for semiconductor materials, 29x (31x) for ICT materials, and 23x (29x) for metals & recycling.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Japan		
	0.72	0.59
Sect: Materials		
	0.74	0.56
Ind: Materials		
	0.58	0.42
Macro:		
JP GDP Real Chained NSA YoY	-0.08	-0.31
JPM JPY Tradeable Currency	0.27	0.26
Japan Generic Govt 10Y Yield	-0.34	-0.21
Quant Styles:		
Growth	0.76	0.43
Value	-0.67	-0.42
LowVol	-0.59	-0.40

- **Assumptions for InP substrate forecasts:** Versus end-FY2025, we assume JX's InP substrate production capacity rises 2.5x (guidance is 2–3x) by end-FY2027, 4.5x (4–5x) by end-FY2028, and 8.5x (7–10x) by end-FY2029. JX has not disclosed the scale of planned product price hikes, but we assume annual increases of 15–30% during the scheduled production capacity expansion through end-FY2029. We also expect long-term contract agreements to be completed with customers and expect attention to focus on their outcome.

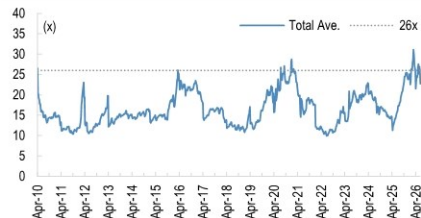
Figure 1: FY2027E Sum-of-the-parts model (P/E)

FY3/28E (¥mn unless otherwise noted)	OP	OP weighting %	EPS *simplified	P/E (x)			P/E 15-year range	
				Low	Present	High	Low	High
Semiconductor materials	89,900	34%	61.9	10.5	29.0	31.7	10.5	31.7
ICT materials	45,800	17%	31.5	7.2	29.0	41.1	7.2	41.1
Metals & recycling	148,000	55%	101.9	7.2	23.0	41.1		
Corporates, etc.	-17,900	-7%	-12.3	8.7	27.0	40.0	--	--
Sub-total	267,700							
Net profit	175,200		184.2					
Number of shares outstanding ('000 shares)	950,895							
P/E				8.0	26.0	38.0		
Theoretical price (JPY)				1,500	4,800	7,000		

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

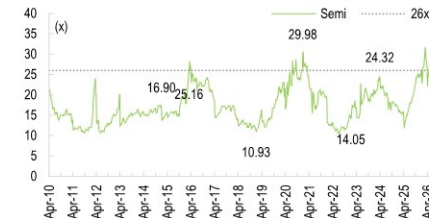
Note: Share price as of August 14. Segment EPS is simply calculated based on the proportion of operating profit.

Figure 2: 1-year-forward P/E: all comparables



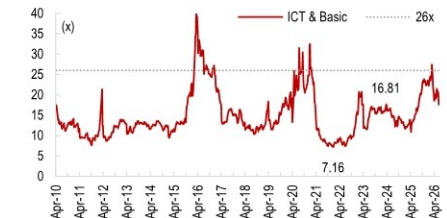
Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 3: 1-year-forward P/E: semiconductor materials



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 4: 1-year-forward P/E: ICT & basic materials



Source: Bloomberg Finance L.P., J.P. Morgan.

Figure 5: JX Advanced Metals (5016): Key changes

	Sales (JPYm)	YoY (%)	OP (JPYm)	YoY (%)	PBT (JPYm)	YoY (%)	NP (JPYm)	YoY (%)	EPS (JPY)	P/E (x)
3/24 A	1,512,345	-7.7%	86,172	18.2%	78,714	24.3%	102,624	177.9%	110.5	34.2
3/25 A	714,940	-52.7%	112,484	30.5%	107,476	36.5%	68,271	-33.5%	73.6	51.4
3/26 A	884,638	23.7%	174,967	55.5%	169,082	57.3%	104,645	53.3%	113.0	33.5
3/27 CoE	1,025,000	15.9%	232,000	32.6%	221,000	30.7%	141,000	34.7%	155.8	24.3
3/27 J.P. Morgan E	1,021,100	15.4%	258,900	48.0%	253,000	49.6%	168,500	61.0%	177.2	21.4
3/27 J.P. Morgan E (old)	1,038,000	17.3%	243,000	38.9%	237,100	40.2%	156,400	49.5%	168.9	22.4
3/27 Bloomberg consensus	1,003,293	13.4%	245,452	40.3%	238,873	41.3%	157,120	50.1%	177.1	21.4
3/28 J.P. Morgan E	1,131,300	10.8%	267,700	3.4%	261,800	3.5%	175,200	4.0%	184.2	20.5
3/28 J.P. Morgan E (old)	1,125,300	8.4%	268,400	10.5%	262,500	10.7%	175,800	12.4%	189.8	19.9
3/28 Bloomberg consensus	1,077,261	7.4%	270,449	10.2%	262,895	10.1%	177,874	13.2%	196.5	19.3
3/29 J.P. Morgan E	1,247,300	10.3%	309,000	15.4%	303,100	15.8%	206,700	18.0%	217.4	17.4
3/29 J.P. Morgan E (old)	1,218,300	8.3%	306,600	14.2%	300,700	14.6%	204,800	16.5%	221.1	17.1
3/29 Bloomberg consensus	1,158,436	7.5%	308,112	13.9%	307,503	17.0%	210,456	18.3%	229.8	16.5

Source: Company reports, Bloomberg Finance L.P., J.P. Morgan estimates.

Note: Share price as of August 14.

Figure 6: Earnings forecasts

(mn JPY)	2024/3	2025/3	2026/3					2027/3					2028/3	2029/3	2027/3
	FY	FY											FY	FY	FY
	Act	Act	1Q	2Q	3Q	4Q	FY	1Q	2Q	3Q	4Q	FY	FY	FY	CoE
			Act	Act	Act	Act	Act	Act	JPM	JPM	JPM	JPM	JPM	JPM	
Sales	1,512,345	714,940	191,276	205,115	218,109	270,138	884,638	260,604	252,000	256,100	263,700	1,021,100	1,131,300	1,247,300	1,025,000
Semiconductor materials	123,151	148,041	38,831	44,290	47,123	46,951	177,195	52,114	53,500	59,200	60,100	224,900	282,400	367,700	230,000
ICT materials	188,072	265,112	78,169	77,504	80,480	82,591	318,744	93,134	83,500	85,300	83,900	345,800	368,700	399,000	355,000
Metals & recycling	1,227,002	306,504	74,967	86,010	96,728	150,172	407,877	123,739	117,700	117,800	117,200	477,200	471,000	471,400	470,000
Others	7,799	8,860	2,629	2,249	2,463	2,470	9,811	2,042	2,200	2,500	2,500	9,200	9,200	9,200	--
Sales YoY%	--	-53%	12%	23%	21%	36%	24%	36%	23%	17%	-2%	15%	11%	10%	16%
Semiconductor materials	--	20%	1%	25%	27%	26%	20%	34%	21%	26%	28%	27%	26%	30%	30%
ICT materials	--	41%	50%	33%	5%	6%	20%	19%	8%	6%	2%	8%	7%	8%	11%
Metals & recycling	--	-75%	-7%	17%	42%	78%	33%	65%	37%	22%	-22%	17%	-1%	0%	15%
Operating profit	86,172	112,484	29,558	40,476	54,771	50,162	174,967	81,446	58,100	69,600	49,800	258,900	267,700	309,000	232,000
Semiconductor materials	26,410	26,738	8,535	10,491	10,871	9,595	39,492	14,412	16,500	18,400	18,200	61,200	89,900	126,700	61,000
ICT materials	933	25,085	7,654	7,695	8,422	7,706	31,477	13,064	7,900	9,800	8,700	39,500	45,800	53,800	39,000
Metals & recycling	77,240	74,517	14,622	25,808	39,741	59,294	139,465	56,786	37,000	43,500	30,700	168,000	148,000	144,500	147,000
Corporates, etc.	-16,035	-12,208	-1,282	-3,218	-4,139	-28,649	-37,288	-2,927	-3,000	-2,000	-10,000	-17,900	-17,900	-17,900	-15,000
Operating profit YoY%	--	31%	22%	-8%	203%	91%	56%	176%	44%	27%	-1%	48%	3%	15%	33%
Semiconductor materials	--	1%	6%	36%	145%	47%	48%	69%	57%	69%	90%	55%	47%	41%	54%
ICT materials	--	2589%	69%	-24%	35%	83%	25%	71%	3%	16%	13%	25%	16%	17%	24%
Metals & recycling	--	-4%	-13%	0%	396%	150%	87%	288%	43%	9%	-48%	20%	-12%	-2%	5%
OPM %	6%	16%	15%	20%	25%	19%	20%	31%	23%	27%	19%	25%	24%	25%	23%
Semiconductor materials	21%	18%	22%	24%	23%	20%	22%	28%	31%	31%	30%	27%	32%	34%	27%
ICT materials	0%	9%	10%	10%	10%	9%	10%	14%	9%	11%	10%	11%	12%	13%	11%
Metals & recycling	6%	24%	20%	30%	41%	39%	34%	46%	31%	37%	26%	35%	31%	31%	31%
Profit before tax	78,714	107,476	28,459	39,398	52,999	48,226	169,082	79,644	--	--	--	253,000	261,800	303,100	221,000
Net income	102,624	68,271	18,865	24,076	36,644	25,060	104,645	53,070	--	--	--	168,500	175,200	206,700	141,000
Capex	79,076	63,809	--	--	--	--	77,904	25,600	--	--	--	91,900	101,800	112,300	--
D&A	39,098	44,039	--	--	--	--	44,679	12,629	--	--	--	50,700	52,500	58,600	--
Forex															
USD/JPY	141	152	145	147	154	157	151	159	160	155	155	157	155	155	157
Cu (\$/lb)	379	425	432	444	503	583	491	604	612	612	612	610	590	590	586

Source: Company reports and J.P. Morgan estimates.

Figure 7: Consolidated BS/CF

(mn JPY)	2023/3	2024/3	2025/3	2026/3	2027/3	2028/3	2029/3
	FY	FY	FY	FY	FY	FY	FY
	Act	Act	Act	Act	JPMe	JPMe	JPMe
Summarized BS							
Current assets	1,257,562	501,187	494,235	623,194	741,562	839,923	955,806
Cash and cash equivalents	54,775	36,779	58,316	66,306	124,370	157,810	221,540
Trade and other receivables	197,204	108,967	138,259	164,237	189,572	210,031	231,567
Inventories	612,480	254,957	273,187	345,075	380,044	424,506	455,124
Other	393,103	100,484	24,473	47,576	47,576	47,576	47,576
Fixed assets	573,995	824,700	788,767	882,143	923,343	972,643	1,026,343
Tangible fixed assets	291,638	328,245	371,782	406,816	448,016	497,316	551,016
Other	282,357	496,455	416,985	475,327	475,327	475,327	475,327
Current liabilities	919,367	340,726	277,925	351,655	363,786	379,209	389,830
Trade and other payables	220,150	70,775	92,826	119,703	131,834	147,257	157,878
Short-term liabilities	480,639	223,031	120,717	145,976	145,976	145,976	145,976
Others	218,578	46,920	64,382	85,976	85,976	85,976	85,976
Long-term liabilities	309,698	264,359	293,323	315,424	315,424	315,424	315,424
Long-term liabilities	212,974	145,119	180,542	178,274	178,274	178,274	178,274
Others	96,724	119,240	112,781	137,150	137,150	137,150	137,150
Net assets	602,492	720,802	711,754	838,258	985,696	1,117,933	1,276,896
Shareholders' equity	452,448	568,695	554,214	637,688	785,126	917,363	1,076,326
Accumulated other comprehensive income	39,645	58,693	61,083	88,800	88,800	88,800	88,800
Total assets	1,831,557	1,325,887	1,283,002	1,505,337	1,664,905	1,812,566	1,982,149
Net debt	551,438	326,371	242,943	257,944	199,880	166,440	102,710
Cash and cash equivalents	54,775	36,779	58,316	66,306	124,370	157,810	221,540
ENEOS Group short term loans (3M+)	87,400	5,000	--	--	--	--	--
Interest-bearing debt	693,613	368,150	301,259	324,250	324,250	324,250	324,250
Capital adequacy ratio	25%	43%	43%	42%	47%	51%	54%
Summarized CF							
CF from operating activities	36,251	38,400	215,431	107,544	171,026	178,203	223,767
Net income	36,930	102,624	68,271	104,645	168,500	175,200	206,700
Depreciation expense	66,635	39,098	44,039	44,679	50,700	52,500	58,600
Change in working capital	-63,018	-14,998	14,699	-58,299	-48,174	-49,497	-41,533
Others	-4,296	-88,324	88,422	16,519	0	0	0
CF from investing activities	-71,283	90,241	-22,118	-77,253	-91,900	-101,800	-112,300
Expenditure on acquisition of fixed assets	-71,625	-84,423	-63,362	-75,530	-91,900	-101,800	-112,300
Income from the sale of fixed assets	243	249	2,183	529	0	0	0
Others	99	174,415	39,061	-2,252	0	0	0
CF from financial activities	51,320	-154,360	-172,249	-24,931	-21,063	-42,963	-47,738
Change in borrowings	98,573	-147,449	-69,571	17,244	0	0	0
Purchase and sales of treasury stock	0	0	-1,000	-1,500	0	0	0
Dividends paid to owner of parent co.	-28,400	0	-85,000	-22,283	-21,063	-42,963	-47,738
Others	-18,853	-6,911	-16,678	-18,392	0	0	0
FCF	-35,032	128,641	193,313	30,291	79,126	76,403	111,467

Source: Company reports and J.P. Morgan estimates.

Note: FCF above is calculated by Operating CF + Investing CF.

Investment Thesis, Valuation and Risks

JX Advanced Metals (5016) (Overweight; Price Target: ¥4,800)

Investment Thesis

Key points are accelerated profit growth in the semiconductor materials segment and divestments from the metals & recycling segment. In the former, JX Advanced Metals is the global No. 1 in sputtering target materials, holding around 65% market share (as of FY2025). As semiconductor structures become more complex, we look for profit growth from increased usage of target materials, enhanced precision, and some material shifts. In the latter, asset-light strategies are reducing earnings volatility and improving asset efficiency. We also focus on how the proceeds from divestments will be linked to shareholder returns. Demand for semiconductor-related products has recently increased sharply. This has driven expectations for a higher weighting of earnings from such products and notably improved the medium-term growth outlook.

Valuation

Our end-December 2027 price target of ¥4,800 is based on our FY2027 EPS estimate and a P/E of 26x, derived from comparable company analysis based on an SOTP model as of August 14, 2026.

Our sum-of-the-parts model (FY2027E)

FY3/28E (¥mn unless otherwise noted)	OP	OP weighting %	EPS *simplified	Present
Semiconductor materials	89,900	34%	61.9	29.0
ICT materials	45,800	17%	31.5	29.0
Metals & recycling	148,000	55%	101.9	23.0
Corporates, etc.	-17,900	-7%	-12.3	27.0
Sub-total	267,700			
Net profit	175,200		184.2	
Number of shares outstanding ('000 shares)	950,895			
P/E				26.0
Theoretical price (JPY)				4,800

Source: J.P. Morgan estimates.

Note: Share price as of August 14. Segment EPS is simply calculated based on the proportion of operating profit. P/E is based on multiples of comparable companies (Bloomberg consensus basis).

Risks to Rating and Price Target

Upside Scenario to Price Target/Rating

- Advancements in semiconductor complexity and miniaturization
- Increased demand as the semiconductor market enters an upcycle
- Rising copper prices

Downside Scenario to Price Target/Rating

- Delays in the schedule for semiconductor complexity and miniaturization
- Reduced demand as the semiconductor market enters a downcycle
- Declining copper prices

- Market share growth in InP substrates decelerating
- A sharp reduction in the valuation of the base materials business—e.g., driven by a copper price downturn despite ongoing AI-led demand growth

JX Advanced Metals (5016): Summary of Financials

Income Statement						Cash Flow Statement					
	2025/3A	2026/3A	2027/3E	2028/3E	2029/3E		2025/3A	2026/3A	2027/3E	2028/3E	2029/3E
Revenue	714,940	884,638	1,021,001	1,131,300	1,247,300	Cash flow from operating activities	215,431	107,544	171,026	178,203	223,767
COGS	(458,262)	(557,542)	(587,500)	(673,700)	(728,200)	o/w Depreciation & amortization	44,039	44,679	50,700	52,500	58,600
Gross profit	256,678	327,096	433,600	457,600	519,100	o/w Changes in working capital	14,699	(58,299)	(48,174)	(49,497)	(41,533)
SG&A	(100,155)	(107,450)	(124,000)	(137,400)	(151,500)	Cash flow from investing activities	(22,118)	(77,253)	(91,900)	(101,800)	(112,300)
EBITDA	156,523	219,646	309,600	320,200	367,600	o/w Capital expenditure	(63,362)	(75,530)	(91,900)	(101,800)	(112,300)
D&A	(44,039)	(44,679)	(50,700)	(52,500)	(58,600)	as % of sales	8.9%	8.5%	9.0%	9.0%	9.0%
EBIT	112,484	174,967	258,900	267,700	309,000	Cash flow from financing activities	(172,249)	(24,931)	(21,063)	(42,963)	(47,738)
Net Interest	0	0	0	0	0	o/w Dividends paid	(85,000)	(22,283)	(21,063)	(42,963)	(47,738)
PBT	107,476	169,082	253,000	261,800	303,100	o/w Shares issued/(repurchased)	(1,000)	(1,500)	0	0	0
Tax	(26,089)	(40,345)	(60,400)	(62,500)	(72,300)	o/w Net debt issued/(repaid)	(69,571)	17,244	0	0	0
Minority Interest	(13,116)	(24,092)	(24,100)	(24,100)	(24,100)	Net change in cash	21,537	7,990	58,064	33,440	63,730
Net Income	68,271	104,645	168,500	175,200	206,700	Adj. Free cash flow to firm	154,252	32,543	79,126	76,403	111,467
Reported EPS	73.63	112.99	177.20	184.25	217.37	y/y Growth	-437.0%	-78.9%	143.1%	-3.4%	45.9%
DPS	109.55	31.00	44.00	46.00	54.00						
Payout ratio	148.8%	27.4%	24.8%	25.0%	24.8%						
Shares outstanding	927	926	951	951	951						
Balance Sheet						Ratio Analysis					
	2025/3A	2026/3A	2027/3E	2028/3E	2029/3E		2025/3A	2026/3A	2027/3E	2028/3E	2029/3E
Cash and cash equivalents	58,316	66,306	124,370	157,810	221,540	Gross margin	35.9%	37.0%	42.5%	40.4%	41.6%
Accounts receivable	138,259	164,237	189,572	210,031	231,567	EBITDA margin	21.9%	24.8%	30.3%	28.3%	29.5%
Inventories	273,187	345,075	380,044	424,506	455,124	EBIT margin	15.7%	19.8%	25.4%	23.7%	24.8%
Other current assets	435,919	556,888	617,192	682,113	734,267	Net profit margin	9.5%	11.8%	16.5%	15.5%	16.6%
Current assets	494,235	623,194	741,562	839,923	955,806	ROE	11.0%	15.6%	21.1%	18.6%	19.0%
PP&E	371,782	406,816	448,016	497,316	551,016	ROA	5.2%	7.5%	10.6%	10.1%	10.9%
LT investments	0	0	0	0	0	ROCE	8.9%	13.5%	17.5%	16.1%	16.7%
Other non current assets	389,266	448,196	448,196	448,196	448,196	SG&A/Sales	14.0%	12.1%	12.1%	12.1%	12.1%
Total assets	1,283,002	1,505,337	1,664,905	1,812,566	1,982,149	Net debt/Equity	0.3	0.3	0.2	0.1	0.1
Short term borrowings	120,717	145,976	145,976	145,976	145,976	Net debt/EBITDA	1.6	1.2	0.6	0.5	0.3
Payables	92,826	119,703	131,834	147,257	157,878	Sales/Assets (x)	0.5	0.6	0.6	0.7	0.7
Other short term liabilities	64,382	85,976	85,976	85,976	85,976	Assets/Equity (x)	2.1	2.1	2.0	1.8	1.7
Current liabilities	277,925	351,655	363,786	379,209	389,830	Interest cover (x)	-	-	-	-	-
Long-term debt	180,542	178,274	178,274	178,274	178,274	Operating leverage	-57.9%	234.0%	311.0%	31.5%	150.5%
Other long term liabilities	293,323	315,424	315,424	315,424	315,424	Tax rate	24.3%	23.9%	23.9%	23.9%	23.9%
Total liabilities	571,248	667,079	679,210	694,633	705,254	Revenue y/y Growth	-52.7%	23.7%	15.4%	10.8%	10.3%
Shareholders' equity	615,297	726,488	873,926	1,006,163	1,165,126	EBITDA y/y Growth	24.9%	40.3%	41.0%	3.4%	14.8%
Minority interests	96,457	111,770	111,770	111,770	111,770	EPS y/y growth	-33.4%	53.5%	56.8%	4.0%	18.0%
Total liabilities & equity	1,283,002	1,505,337	1,664,905	1,812,566	1,982,149						
BVPS	662.70	782.46	941.26	1,083.69	1,254.90	Valuation					
y/y Growth	-1.9%	18.1%	20.3%	15.1%	15.8%		2025/3A	2026/3A	2027/3E	2028/3E	2029/3E
Net debt/(cash)	242,943	257,944	199,880	166,440	102,710	P/E (x)	51.4	33.5	21.4	20.5	17.4
						P/BV (x)	5.7	4.8	4.0	3.5	3.0
						EV/EBITDA (x)	7.6	5.5	3.7	3.5	2.9
						Dividend Yield	2.9%	0.8%	1.2%	1.2%	1.4%

Source: Company data and J.P. Morgan estimates

Note: ¥ in millions (except per-share data). Fiscal year ends Mar. o/w - out of which

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JX Advanced Metals (5016) (5016.T, 5016 JP) Price Chart



Date	Rating	Price (Y)	Price Target (Y)
21-Apr-25	N	840	850
12-Nov-25	N	1960	1,900
04-Feb-26	N	2480	2,500
20-Mar-26	N	3788	3,700
11-May-26	NR	5416	--
18-Jun-26	OW	4366	5,700
17-Aug-26	OW	3785	4,800

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Apr 21, 2025. All share prices are as of market close on the previous business day.

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